25STCV19822 25STCV19822

County: los-angeles

Division: Civil Law and Motion

Department: 224

Hearing date: 2026-07-06

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Case Number: 25STCV19822 Hearing Date: July 6, 2026 Dept: 224

Hutchinson v. General Motors, LLC

TENTATIVE RULING

The demurrer is SUSTAINED, with leave to amend as to the fifth cause of action in the Complaint. The motion to strike is GRANTED, with leave to amend. Plaintiff shall file his First Amended Complaint within 20 days.

The Case Management Conference is continued to November 30, 2026 at 8:30 a.m.

Introduction

On July 1 2025, Plaintiff filed a Complaint arising out of Plaintiff's warranty contract with Defendant GM regarding a 2019 GMC Sierra 1500, vehicle identification number 3GTP9EELXKG301443.

On February 3, 2026, Defendant filed the instant Demurrer and Motion to Strike to Plaintiff's Complaint.

On April 15, 2026, Plaintiff filed an opposition to the Demurrer.

On April 20, 2026, Defendants filed a reply.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Bryan Goh, executed on October 13, 2025, sets forth the meet and confer efforts of counsel for the Defendant, and counsel's attempts to resolve the discovery dispute informally by telephone. The declaration satisfies the requirement of Code of Civil Procedure section 430.41.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action.¿ (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)¿When considering demurrers, courts read the allegations liberally and in context.¿ (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.)¿In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice.¿(Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)¿"A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Statute of Limitations

To sustain demurrer to the complaint based on a statute of limitations defect, "the defect must clearly and affirmatively appear on the face of the complaint.... A demurrer will not lie where the action may be but is not necessarily barred." (Citizens for a Responsible Caltrans Decision v. Department of Transportation (2020) 46 Cal.App.5th 1103, 1117.)

Neither the Breach of Implied Warranty claim, nor the Fraudulent Concealment claim are time-barred on the face of the complaint.

Commercial Code section 2725 provides, in pertinent part: (1) An action for breach of any contract for sale must be commenced within four years after the cause of action has accrued.... (Id., § 2725, subds. (1)) California Code of Civil Procedure section 338(d) establishes the three-year statute of limitations for fraud actions (CCP § 338.) Under Code of Civil Procedure § 338(d), a claim for fraud accrues when the aggrieved party discovers, or reasonably should have discovered, the facts constituting the fraud.

Here, Plaintiff alleges that Plaintiff discovered Defendant's wrongful conduct shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following GM's unsuccessful attempts to repair them. (Complaint ¶ 24). Plaintiff also invokes several tolling doctrines, including the equitable tolling, the discovery rule, equitable estoppel, the repair rule, and/or class action tolling under American Pipe. (Complaint ¶ 23.) These allegations are sufficient at the pleading stage, as a demurrer based on statute of limitations can only be sustained where the defect clearly and affirmatively appears on the face of the complaint.

The demurrer is OVERRULED on this ground.

Fifth Cause of Action: Fraudulent Inducement – Concealment

Duty to Disclose

Defendant argues that Plaintiff has not pled a transactional relationship between GM and Plaintiff which gives rise to a duty to disclose.

The California Supreme Court "has described the necessary relationship giving rise to a duty to disclose as a 'transaction' between the plaintiff and defendant." (BiglerEngler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 311.) Specifically, "[i]n¿transactions¿which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2)¿the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (Ibid.)¿For example, "a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement." (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.)¿

Here, the Court is not persuaded that GM's written warranty, without more, is sufficient to impose a duty to disclose upon GM where Plaintiff has not alleged facts indicating any "direct dealings" between the parties. (Complaint, ¶ 6.) "Under California law, manufacturer warranties that accompany the sale of a vehicle without regard to the substantive terms of the sale contract between the buyer and the dealer are independent of the sale contract." (Davis v. Nissan North America, Inc. (2024) 100 Cal.App.5th 825, 837, emphasis added.)

Although Plaintiff's Opposition contends that Plaintiff has pled a "buyer-seller relationship, that "Plaintiff went to a GM dealership and purchased the subject vehicle," and that "GM profited" from the sale, these facts are not reflected on the face of the Complaint itself. (Opp., at pg. 2.) For example, Plaintiff never alleges that GM financed or controlled any sale, or otherwise had a direct interest in the sale of the Vehicle to Plaintiff. Further, while Plaintiff alleges GM concealed information in its "advertising materials" (Complaint, ¶ 51), Plaintiff has not alleged any factual detail identifying these materials such that it can be inferred that the materials were anything more than communications to the public at large. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 41 ("Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large."))

While courts do consider the existence of an express warranty in evaluating the duty to disclose, Plaintiff has not set forth any legal authority to indicate that a written warranty, standing alone, constitutes the type of "direct dealings" necessary for such a duty, particularly where there are no facts alleging Plaintiff purchased the Vehicle from a GM-authorized dealership or other GM sales representatives, or that GM's agents directly solicited business from Plaintiff. (Cf. Dhital¿v. Nissan North America, Inc.,¿(2022)¿84 Cal.App.5th 828, 844 (holding a transactional relationship is sufficiently pled for the purposes of a demurrer where "plaintiffs alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers."))

In other words, although Plaintiff argues that sales by intermediaries do not necessarily disrupt the "transactional relationship" between a manufacturer and a consumer (citing Bader v. Johnson & Johnson (2022) 86 Cal.App.5th 1094, 1132), Plaintiff has not pled any factual detail to support an inference that GM itself was selling through a dealership, as Plaintiff contends in his Opposition. (Opp., at 2.) At present, the Complaint is completely devoid of facts clarifying the circumstances through which Plaintiff acquired the Vehicle. Plaintiff must allege additional facts to support the existence of a transactional relationship with GM.

Therefore, the fifth cause of action is insufficiently pled.

The demurrer is SUSTAINED with leave to amend on this ground.

The Economic Loss Rule

Defendant further argues that the Economic Loss Rule bars Plaintiff's Fifth Cause of Action.

The economic loss rule posits that a purchaser of a product that does not live up to the buyer's expectations can only recover in contract and not tort, "unless [the purchaser] can demonstrate harm above and beyond a broken contractual promise." (Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1130.) A tort claim for fraud must be sufficiently independent from a breach of contract claim for which the plaintiff suffered economic loss. (Robinson Helicopter, supra, 34 Cal.4th at 991.)

The Court of Appeal in Dhital addressed Nissan's assertion that, under Robinson Helicopter, the Buyer's cause of action is barred pursuant to the Economic Loss Rule because the cause of action concerns fraudulent concealment (as opposed to affirmative misrepresentations). The Court ultimately held that "[u]nder California law, the economic loss rule does not bar plaintiffs' claim here for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court, and plaintiffs allege fraudulent conduct that is independent of Nissan's alleged warranty breaches." (Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828, 843, citing Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 989–90.)

In Rattagan v. Uber Techs. (2024) Inc., 17 Cal. 5th 1 (Rattagan), the California Supreme Court addressed the question left unanswered in Robinson Helicopter regarding the applicability of the economic loss rule in the context of a fraudulent concealment claim, holding that "an independent fraudulent concealment tort may arise during an ongoing contractual relationship." (Id. at p. 19 [emphasis original].)

Framed more specifically, the court stated:

"Can a plaintiff assert an independent claim of fraudulent concealment in the performance of a contract? The answer to this question is also yes. A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement."

(Rattagan, supra, 17 Cal. 5th 1 at p. 38.)

In other words, as long as the plaintiff can establish all the required elements of the cause of action independently of the parties' contractual rights and obligations and can demonstrate an exposure to risks of harm beyond those reasonably expected as a result of a contractual breach, then a cause of action for concealment may lie. (Ibid.) As stated in Rattagan, "it has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (Id. at p. 41.)

Plaintiff's Fifth Cause of Action alleges Defendant was aware and knew that 10-speed transmission in the Vehicle was defective but failed to disclose this fact to Plaintiff prior to, at the time of sale, and thereafter (Complaint ¶¶ 47-49), thereby alleging a claim for fraudulent concealment rather than affirmative representations. (See Dhital at p. 841 ["independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to."; finding the economic loss rule did not preclude vehicle buyers' fraudulent inducement-concealment claim against the vehicle manufacturer, where the buyers' allegations concerned fraudulent conduct before the sale, which was therefore separate from the manufacturer's performance under the contractual or warranty provisions.)].

Here, the Court is guided by Dhital and concludes Plaintiff's Fifth Cause of Action is not barred by the Economic Loss Rule. As stated in Dhital, "the economic loss rule does not bar plaintiffs' claim . . . for fraudulent inducement by concealment." (Dhital, supra, at p. 9.)

As such, the economic loss rule does not bar Plaintiff's fraud cause of action as a matter of law.

The demurrer is OVERRULED on this ground.

Specificity

However, plaintiff must still plead the circumstances of fraudulent concealment with particularity. (Rattagan v. Uber Techs., Inc. (2024) 17 Cal.5th 1, 43–44.)

"'The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation.]' [Citation.]" (Hambrick v. Healthcare Partners Medical Group, Inc. (2015) 238 Cal.App.4th 124, 162.)

Ordinarily, "fraud must be pleaded specifically; general and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.). "This particularity requirement necessitates pleading facts which show how, where, to whom, and by what means" the alleged fraud occurred. (Id.) The purpose of the particularity requirement is to "separate meritorious and nonmeritorious cases, if possible in advance of trial." (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.)¿¿¿¿

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. (Rattagan v. Uber Techs., Inc., 17 Cal. 5th 1, 43–44, 553 P.3d 1213, 1240 (2024) citing Goodman v. Kennedy (1976) 18 Cal.3d 335, 347, 134 Cal.Rptr. 375, 556 P.2d 737; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248, 129 Cal.Rptr.3d 874; Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1472, 169 Cal.Rptr.3d 619.) In Rattagan, the court held that it had to determine whether the plaintiff alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, as the plaintiff alleged there, the Court found

that the complaint also had to include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. "[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[ ] ... are insufficient for the foregoing purposes." (Goodman, at p. 347, 134 Cal.Rptr. 375, 556 P.2d 737.) (Rattagan v. Uber Techs., Inc., 17 Cal. 5th 1, 43–44, 553 P.3d 1213, 1240 (2024)).

Defendant argues that Plaintiff has not pled this cause of action with the requisite specificity. Namely, Defendant argues that Plaintiff failed to allege the contents of the omitted facts and failed to identify by name who made the alleged omissions when they purchased the Subject Vehicle.

GM relies on the general rule for pleading fraud against a corporation, which requires a plaintiff to allege the identity of the speaker, their authority, to whom they spoke, what they said, and when it was said. (See, e.g., Tarmann v. State Farm Mut. Auto Ins. Co. (1991) 2 Cal.App.4th 153, 157.) However, this rule is inapplicable to a claim of fraudulent concealment. (Alfaro v. Community Housing Improvement System & Planning Association, Inc. (2009) 171 Cal.App.4th 1356, 1384 ("How does one show 'how' and 'by what means' something didn't happen, or 'when' it never happened, or 'where' it never happened?").) Instead, such details, in the context of a fraudulent concealment claim, "are properly the subject of discovery, not demurrer." (Id. at 1384-85.)

Here, the Court agrees that Plaintiff does not plead the fraudulent concealment claim with the requisite particularity, though not for the reasons GM identifies. As discussed above, the Tarmann factors GM contends Plaintiffs omitted – the identity of the speaker, their authority, to whom they spoke, and what was said and when – do not govern a claim sounding in concealment rather than affirmative misrepresentation. (Alfaro, supra, 171 Cal.App.4th at 1384.) The claim is instead deficient because the Complaint fails to plead the factors required for a concealment claim under Rattagan. Although Plaintiff alleges that GM had superior knowledge of the defect through pre-production and post-production testing data; early consumer complaints about the Transmission Defect; aggregate warranty data; testing conducted in response to these complaints; as well as warranty repair and part replacements data, (Complaint ¶ 49) the pleading does not identify which advertisements, marketing materials, or representations Plaintiff reviewed, when he reviewed them, or how those materials were prepared or disseminated by GM as opposed to the dealership. Further, Plaintiff does not allege the general point at which disclosure should or could have been made.

Further, while Plaintiff alleges that GM's concealment induced him to purchase the vehicle and that he would not have done so had he known of the defect (Complaint ¶50), the Complaint does not allege any facts establishing Defendant's intent to defraud.

The demurrer is SUSTAINED with leave to amend on this ground.

Motion to Strike

Defendant General Motors LLC moves to strike designated portions of Plaintiff Thomas Hutchinson's Complaint pursuant to Code of Civil Procedure §§ 435 and 436, on the grounds that Plaintiff's requests for civil penalties are improperly pled in violation of the newly enacted CCP § 871.24 (AB 1755), effective July 1, 2025.

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc., § 435(b)(1)). The notice of motion to strike a portion of a pleading shall quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count or defense. (California Rules of Court Rule 3.1322.)

"At least 30 days prior to the commencement of an action seeking civil penalties under subdivision (c) of Section 1794 of the Civil Code, the consumer shall do all of the following: (1) Notify the manufacturer of the consumer's name, the accurate Vehicle Identification Number ("VIN") of the motor vehicle, and a brief summary of the repair history and problems with the motor vehicle. (2) Demand that the manufacturer repurchase or replace the motor¿vehicle."¿¿(CCP § 871.24(a).)¿¿The failure to¿comply with¿the pre-lawsuit notification requirement precludes recovery of civil penalties for a Song-Beverly claim.¿¿(CCP 871.24(h).)¿

Here, Plaintiff has not alleged compliance with CCP § 871.24(a). Thus, Defendant's motion to strike allegations pertaining to civil penalties is GRANTED.

Because Plaintiff can reasonably amend his Complaint to show compliance with CCP 871.24(a), the Court grants leave to amend.

Conclusion

The demurrer is SUSTAINED with leave to amend as to the fifth cause of action in the Complaint. The motion to strike is GRANTED, with leave to amend. Plaintiff shall file his First Amended Complaint within 20 days.

The Case Management Conference is continued to November 30, 2026 at 8:30 a.m.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.